

Journal

Define journal.

⇒ The book in which transactions are first of all recorded chronologically together with its short description is called journal.

⇒ It is also called "Book of original entry", "prime entry" or "preliminary entry" or "first entry".

⇒ Every transaction is recorded in the journal with details such as:

- Date of the transaction
- Accounts affected (like cash, sales, expenses)
- Amounts involved (debit & credit)

Journalising:

⇒ Recording of a transaction in journal is called "journalising" or "journal entry".

Entry:

⇒ Recording a transaction in the appropriate place of the concerned book of account is called entry.

Simple entry:

⇒ An entry in which one account is credited and other account is debited is called simple entry.

example:

⇒ Paying rent in cash
Debit: Rent expenses
Credit: Cash

Compound entry:

⇒ An entry in which more than one account is debited or more than one account is credited is called "Compound entry". Affect multiple accounts simultaneously.

example:

⇒ A business purchases office supplies, pays for them in cash, and also pays sales tax.

Compound entry:

Debit: Office supplies
Debit: Sales tax expenses
Credit: Cash

Narration:

⇒ A short explanation of each transaction which is written under

each entry is called "Narration".

Purpose:

⇒ Brief explanation of journal entry.
⇒ it provides context and clarity about the transaction being recorded.

Purpose: To explain the reason for the debit & credit entries.

⇒ it is written below the journal entry.

example:

⇒ if Fazila pay rent for office, the journal entry would be:

Debit: Rent expense
Credit: Cash

Narration: "Being rent paid for the month of April"

Ledger Folio / Ledger Reference:

⇒ The page number of the ledger where the two concerned accounts have been posted, are mentioned in the column. This helps in locating the entry in the ledger easily. It is used in journal.

⇒ Act as bridge b/w the journal and ledger.

In simple:-

⇒ A reference linking a journal entry to its corresponding ledger account.

Key Debit: Dr → +

⇒ An entry recording an increase in an asset or expense account.

Credit:

⇒ An entry recording decrease in an asset or expense account.

Key point: Cr → -

- Every transaction involves at least one debit and one credit.
- The total debits must always equal the total credits.
- Debit can be more than one.

Account:

- Account
- A/c
- Acc.

Debit:

Credit:

کٹوتہ اور

بیمشہ

⇒ Both debit and credit should also be written combine.

⇒ on Account / on Credit / owed / owe → اظہار

⇒ owed / owe → اظہار
own → اپنا

⇒ Liability جب طے کر لیں گے ہمیشہ credit ہوگا
جب واپس کر دیں گے Debit ہوگا۔

⇒ اگر کسی transaction میں Cash کا ذکر نہیں تو
اظہار ہوگا۔

⇒ Note payable debit استعمال کر دیں گے اظہار جب طے کر لیں گے۔

⇒ Purchased کو Journal میں استعمال نہیں
کر دیں گے۔

⇒ جو چیز خریدی ہے اسے وہ لکھنی ہے۔

⇒ Received → مل گیا ہے

Receivable → اظہار ملنا ہے

⇒ Billed customer ← جس نے لینے کا کام کر دیا ہے
↓
A/c Receivable → debit

↓
Rec.

Services → Credit

Common Rule:

- جب سکتے ہیں جب خریدتے ہیں۔
- Assets $\uparrow + D\&$ $\downarrow - C\&$
 - Liabilities $\uparrow - C\&$ $\downarrow + D\&$
 - Capital $\rightarrow C\&$
 - Expense $\rightarrow D\&$
 - Income $\rightarrow C\&$
- ہمیشہ الٹے
یہی ریسرٹ کریں۔

$\Rightarrow$ Expense کی کچھ مثالیں:

Rent, Income tax, Salary, repair, insurance, Bill (utility bill), fee etc. ^{gradual wearing-out depreciation}

$\Rightarrow$ اگر A/c credit ہے تو Person کا نام ضروری نہیں۔
اگر A/c cash ہے تو Person کا نام ضروری نہیں ہے۔

$\Rightarrow$ جب بل جیسٹا ہو۔

A/c Rec.
cash

$\Rightarrow$ جب بل دے دیا ہو۔
cash

A/c Rec.

$\Rightarrow$ Personal use $\rightarrow$ Drawing $\rightarrow$ debit
Domestic use $\rightarrow$ cash $\rightarrow$ credit

$\Rightarrow$ fee earned, income ہے اور ہمیشہ credit ہوتی ہے۔

جب بھی لفظ Paid ہو گا تو cash ہمیشہ credit ہو گا۔
 $\Rightarrow$ جب بھی لفظ Receive / Collected ہو گا تو cash ہمیشہ debit ہو گا۔

$\Leftarrow$ اگر Goods کو Purchase کر سہل گئے تو وہ Debit ہو گا
گی اور credit, cash ہو گا۔

$\Leftarrow$ اگر Goods کو Sale کر سہل گئے تو credit ہو گا
debit, cash ہو گا۔

$\Leftarrow$ Interest, بھی Debit ہوتا ہے۔ اگر interest on capital ہو
تو وہ expense ہوتا ہے۔

$\Leftarrow$ Interest, credit ہوتا ہے اگر interest on drawing ہو تو وہ income
ہوتا ہے۔

$\Leftarrow$ اگر Sample free ملا ہے تو No entry ہو گی۔

$\Leftarrow$ اگر sample free بیچ دیا ہے کسی کو تو income آئے گی تو cash
ہو گا اور cash income ہو گی۔

$\Leftarrow$ اگر میں نے کسی کو Goods free دیا تو وہ Expense ہو گا bcz
sample intentions، اسے ^{advertising} ہو گا۔

$\Leftarrow$ اگر Goods کو Donate / Charity کے لئے تو Expense ہو
گی۔

$\Leftarrow$ اگر Goods کو چوری ہو گئی ہے تو Expense ہو گا اور ہم اسے Assets
میں ہٹائیں گے۔
Theft $\rightarrow$ Assets $\rightarrow$ C&

$\Leftarrow$ اگر just Order ملے پھر بھی No entry ہو گی۔

$\Leftarrow$ Value Payable (VPP) ہمارا expense ہے۔

$\Leftarrow$ اگر کوئی زندہ Animal خریدے ہیں گے تو Livestock کو استعمال
ہو گا۔

⇒ When question is silent on cash and credit & Party name is not given → cash
 ⇒ if Party name is mention → credit.

Loss by fire سے جو جائیداد تباہ ہو جائے
 Expense ہو گا اور وہ Debit ہو گا۔

Discount دو طرح کے ہوتے ہیں۔
 1) Trade discount 2) cash discount
 Trade discount کی کوئی entry نہیں ہوتی کیونکہ Subpart ہوتے ہیں اور
 cash discount کی entry ہوتی ہے۔

اگر چیزیں منسلک خریدنے پر Discount ملے تو وہ Debit ہو گا اگر ہم
 نے کسی کو چیزیں بیچی ہیں اور اسے Discount دیا ہے تو وہ Credit ہو گا۔

Discount = $\frac{\text{Asset value} \times \text{Dis rate}}{100} \times \frac{\text{Time}}{12}$ if P.a used.
 اگر P.a not used تو Add ہو گا۔

Goods return (Purchase return) → Debit expense ہو گا اور Asset ہو گا۔
 Goods return (Sale return) → Credit Income ہو گا اور Liability ہو گا۔

جب amount کو deposited کر دے تو Bank → Debit
 cash → Credit

Payment in full Settlement

Discount allowed → Debit Discount concept والا ہو گا۔
 Discount received → Credit

insolvent کا مطلب ہے کہ وہ بڑے بڑے سے یا سب سے نہیں ملے گا۔

which is earned but not received → Accrued income

Receipts کا لفظ تو Cash تو ہو گا تو Debit ہو گا اور Revenue → Credit

Depreciation → fall in the value of Assets

Depreciation A/c To Assets

Profit کو show نہیں کرتے journal entry - Add
 کر دے ہیں۔

Practice example

Pg #147:-

Date	Description	Dr \$	Cr \$
June 1	Cash Capital Owner invested cash to begin business	60,000	60,000
June 2	Aircraft cash A/c payable Purchased a crop-dusting	225,000	45,000 180,000
June 4	Rent cash Paid Rent Account Rec.	2500	2500 8320
June 15	Crop Services Billed customer		8320
June 16	Salaries cash Paid salaries	5,880	5,880
June 18	Repairing cash Paid Humnigan's Hungers	1,890	1,890

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Date	Description	Dr \$	Cr \$
may 1	Cash	12000	
	Capital		12000
	Stein opened a account		
may 1	office Rent	1700	
	cash		1,700
	Paid office rent		
	office equipment	7,200	
may 2	cash		7,200
	Purchased office equipment		
	medical instrument	9,000	
	cash		9,000
may 3	Note payable		8000
	Purchased medical instrument		
	cash	4,000	
may 4	Emergency services		4,000
	Emergency services retained		
	cash	600	
may 15	Account Rec.	1,000	
	Fee earned		16,000

may 15	Salary	1,000	
	cash		1,000
	Paid salary		
may 16	Drawing	975	
	cash		975
	withdrew cash		
may 27	Cash	25	
	Acc. Rec.	35	
	Fees earned		60
may 19	A/C Rec. => Will not be recorded	400	
	cash		400
	Record medical service		
may 31	Cash	2,000	
	A/C Rec.	1,900	
	Fees earned		4,000
may 31	Salary	1,000	
	cash		1,000
	paid for and half month		
may 31	medical supplies	640	
	Note payable		640
	Received a bill from Mr. Green		
may 31	Utilities	3,000	
	cash		3,000
	paid for utilities		

Page #151:

Date	Description	Dr \$	Cr \$
jan 3	Rent for building cash	1,600	1,600
	Paid rent for building		
jan 4	Advertising A/C payable	520	520
	Advertisement in local news papers		
jan 15	Cash	9,470	
	Revenue		9,470
	Receipts from passengers		
jan 16	Drawing cash	3,000	3,000
	withdraw amount		
jan 16	Salaries cash	5,265	5,265
	Paid salaries to employees		
jan 22	Fuel A/C payable	1930	1930
	Receive a bill		
jan 31	Repairs & maintenance cash	1642	1642
	Paid for repair & maintenance		

Note: bill is a utility

Page #152:-

Date	Description	Dr \$	Cr \$
mar 1	Cash	50,000	
	Capital		50,000
	opened an account to begin business		
	Land	160,000	
mar 5	Cash		40,000
	Note payable		129,000
	Purchased land		
	Cash	12,000	
mar 8	A/C receivable		12,000
	collected cash for march		
mar 7	Advertisement	390	
	cash		390
	Paid for advertisement		
mar 15	Cash	1836	
	Posting revenue		1836
	Posting receipts for first half		
mar 31	Utilities &c.	78	
	Account payable		78
	Receive a bill for light		
mar 31	Note payable	5000	
	cash		5000
	Note payable incurred with first half		

Nov 31	Drawing	2,000	
	Cash		2,000
	withdrew amount		
Nov 31	wages (expense)	2720	
	Cash		2720
	Paid to employees for services		
Nov 31	Cash	5,338	
	Parking revenue		5338
	Revenue for parking		

Q. Page #155:-

Date	Details	Dr \$	Cr \$
Nov 1	Cash	40,000	
	Capital		40,000
	Open a bank account		
Nov 2	Land	170,000	
	Building	360,000	
	Cash		130,000
	Note Payable		400,000
	Purchased land & building		

Nov 3	Truck	432,000	
	Cash		200,000
	Note Payable		232,000
Nov 6	Office equipment	24,000	
	Cash		24,000
	Purchase office equipment		
Nov 6	Cash	4850	
	Alc Rec.		3800
	Mowing service Revenue		8650
	Moved furniture		
Nov 9	Cash	18350	
	Alc Rec.		14000
	Moving Services Revenue		32,350
Nov 15	Salaries	13,250	
	Cash		13,250
	for and half month		
Nov 25	Cash	27,000	
	Mowing Services		27,000
	Moved furniture		
Nov 30	Salaries	17,400	
	Cash		17,400
	Wages given		
Nov 30	Caroline Bill	17500	
	Note Payable		17,500

Nov 30	Repairs	1250	
	Note Payable		1250
	Received bill for repairs		
	Note Payable	2000	
Nov 30	Interest	3000	
	Cash		5000
Nov 30	Drawing	4,000	
	Cash		4,000

Practice Questions

Question #1:

- Commenced business with cash 50,000
- Purchased goods from Subhash 20,000
- Sold goods to Ramnath 15,000
- Ramnath returned defective goods 1,000.
- Received cash from Ramnath and discount allowed. 13,800, discount 200
- Gopal sold goods to us. 20,000
- Paid to Gopal in full settlement of his account after deducting 5% discount.
- Paid Rent. 10,000

- Purchased goods from Govind for 10,000 at 20% trade discount.
- Purchased goods from Govind for 10,000 at 20% trade discount.
- Paid to Govind 7,850 in full settlement of his account.
- Paid to Subhash 9,750; discount received 250.
- Paid wages 400, salaries 4,000; Advertisement expenses 800 and Trade expenses 1,000.

Journal of Hosi Shankar & Cons.

Date	Description	Debit	Credit
APR 1	Cash	50,000	
	Capital		50,000
2	Goods/Purchase	20,000	
	Cash		20,000
3	Cash	15,000	
	Sales/Goods		15,000
4	Sales Return	1,000	
	Cash		1,000
10	Goods	20,000	
	Cash		2,000

10)	Cash	13800	
	Discount allowed Ramnath	200	14000
14	Cropal	10,000	
	Cash		9500
	Discount received		500
15	Rent	10,000	
	Cash		10,000
18)	Goods (6000 - 20%)	4800	
	Cash		4800
24	Grovinid	8000	
	Cash		7850
	Discount rec		250
35	Subhash	5000	
	Cash		4750
	Discount rec		250
30	Wages	400	
	Salaries	4,000	
	Advertisement	800	
	Trade expense	1,000	
	Cash		6200

Question #2:-

Mar 1 Received interest and commission. ⁵⁰⁰ ²⁰⁰⁰

Mar 2 Proprietor withdrew for his personal use 20,000 and goods worth 10,000

Mar 3 Goods 50,000 were given as charity (sale price 60,000).

Mar 4 Goods worth 25,000 were distributed as free samples.

Mar 5 Goods worth 50,000 and cash 20,000 were stolen by an employee

Mar 6 Goods worth 1,00,000 were destroyed by fire. Insurance company admitted and paid claim for 60% amount.

Date	Description	Dr	Cr
Mar 1	Cash	2500	
	Interest received		500
	Commission received		2000
2	Drawing	30000	
	Cash		20,000
	Goods		10,000
3	Charity	50,000	
	Goods		50,000

4	Advertisement	25,000	
	cash		25,000
5	Loss by theft	70,000	
	cash		20,000
	Goods		50,000
6	Loss by fire	1,00,000	
	Goods		1,00,000
	Insurance Co.	60,000	
	P & L	40,000	
	Loss by fire		1,00,000
	Bank	60,000	
	insurance Co.		60,000

Question #3:-

- 1) Purchased supplies on account for \$500.
- 2) Purchased boat for the business 8000
- 3) Purchased vehicle 40000
- 4) Depreciation to be charged on vehicle 6% p.a.
- 5) Sold goods costing 60,000 to Dinesh against cheque at a profit 40% on cost less 20% trade discount and

- paid carriage 500 (not to be charged from the customer).
- 6) Sold goods costing 45,000 to manoj at a profit of $33\frac{1}{3}\%$ (113%) on cost less 20% trade discount and paid carriage 400 (to be charged from the customer).
 - 7) Received an order for goods for 1,20,000 from ms. Gauri.
 - 8) Received an order for goods from m/s. Harish of 5,00,000 along with cheque, 1,80,000 with cash.
 - 9) Good for 20,000 and furniture of the book value 10,000 destroyed by fire.
 - 10) Received from salesman 60,000 for goods sold by him after deducting his travelling expenses 4,000.
 - 11) Received a cheque of 40,000 from the railway authorities in full settlement of claim for damages in transit.

Date	Description	D8	
1 May	Supplies	500	
	Note payable		500
	Live stock	4000000	
2	cash		4000
	Vehicle	400000	
3	cash		4000
	Depreciation	15000	
4	vehicle		15000
	Cash	67200	
5	Sales/Goods		67200
	Carriage outwards	500	
	cash		500
6	Monoj Alc	48400	
	Goods		48000
	cash		400
7	No entry		
8	Cash	1,80,000	
	Goods		1,80,000
9	Loss by fire	30,000	
	Goods		20,000
	Furniture		10,000

10	Cash	60000	
	Expense of travel	4000	
	Goods		64000
12	Cash	40000	
	P & L	10,000	
	Railway		50,000

Q.1 may: Started business with cash 1,00,000 Rs, Building Rs. 1,00,000 and vehicle 40,000.

2 may: Deposited Rs 2,00,000 cash into bank.

3 may: Taken loan from Rakesh of Rs 80,000 in cash and 10,000 via cheque.

4 may: Salary paid to employees Rs 30,000 via cheque and Rs 5000 via cash.

5 may: Commission income due Rs 4000 from Mr. Haxh

6 may: outstanding Rent 15,000 Rs

7 may: Purchased goods from Anil 5000 Rs and Sunil 10,000

8 may: Received Dividend 500 Rs.

Date	Description	Dr RS	Cr RS
1 may	Cash	1,00,000	
	Building	1,00,000	
	Vehicle	40,000	
	Capital		2,40,000
	Bank	2,00,000	
2 may	Cash		2,00,000
	Cash	8,000	
3 may	Bank	10,000	
	Rakesh		90,000
	Salary	35,000	
4 may	Cash		5,000
	Bank		30,000
	Harsh	4,000	
5 may	Commission income		4,000
	Rent	15,000	
6 may	O/s Rent		15,000
	Goods	15,000	
7 may	Anil	5,000	
	Snail		10,000
	Cash	500	
8 may	Dividend		500

What is dividend?

⇒ is a distribution of earning made to shareholders in proportion to the number of shares own.

if received dividend:

Cash

To Dividend

Ex: Sri Shant who owed Rs 40,000 is declared insolvent. Only 70 Paise in a rupee could be recovered as dividend from his estate.

Cash

28,000

Bad debt

12,000

Sri Shant

40,000

: 70% declare, Dividend

Dividend

To Dividend payable

60% Collateral Income

Cash

To Dividend

: Paid 60% W.D.

Dividend

To Cash